KSJ RESEARCH

Research Note Vol.3

# Pricing an IPO in a 40x P/E Sector

An indicative price range for a hypothetical power-equipment maker — multiples, discounts and cycle risk from Korean and U.S. peers

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2026.10

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# Indicative range KRW 66,200–79,500 (current basis) vs KRW 46,900–57,600 (with peak margins) — a 10–40% discount alone cannot cover the double peak



**Three-step peer selection → multiple (P/E main, EV secondary) → value → discount → range → Monte Carlo on both the peak multiple and the peak margin**

## Key metrics [*1,*2,*3,*4]

| Key metric | Value | p. |
|---|---|---|
| Applied P/E current · normalised · conservative | **41.4x · 28.5x · 20.1x** | 5 |
| 3 Korean names aggregate P/E (mean · median) | 40.1x (48.9x · 34.7x) | 4 |
| U.S. core peers' P/E (Vertiv, Eaton) | 42.7x | 4 |
| EV/EBIT (secondary, 3 Korean names) | 28.6x | 4 |
| Target Co. NI to parent FY2025A (assumed) | KRW 30.8bn | 2 |
| Fair equity value (current multiple) | KRW 1,273bn | 6 |
| Value per share (post-IPO shares) | **KRW 101,810** | 6 |
| Range · current basis (discount 22–35%) | **KRW 66,200–79,500** | 6 |
| Range · double peak (discount 43–54%) | **KRW 46,900–57,600** | 7 |
| Value: normalised earnings × multiple | KRW 47,950 | 5 |
| Offer size (range low–top) | KRW 207bn–KRW 248bn | 6 |
| 1-yr value P10 · P50 · P90 (current basis) | 70,515 · 87,224 · 107,275 | 7 |
| 1-yr loss probability at 40% (current · double peak) | 1% · 58% | 7 |

Source: *1 FSS DART annual reports (consolidated) *2 Korea Exchange (KRX) daily trading data *3 SEC EDGAR 10-K XBRL (companyfacts), cover-page shares *4 KSJ Research
Note: KSJ Research. Target Co. is hypothetical; definitions and sources in footnotes and A2. Judgements are the author's own

**41.4x**

Applied P/E (Korea and U.S. core average, as of)

### 41.4x is an earnings-made multiple, but a peak one — normalised 28.5x, conservative 20.1x

- Normalised 28.5x: log midpoint of early-2023 20.1x and today (half the re-rating reverses)
- Vol.1: 61% of the same names' gain was earnings — the multiple itself signals a peak
- LS ELECTRIC at 86.1x exceeds 2x the median — kept under aggregate weighting (mean would be 48.9x)
- GE Vernova held pending its 10-K — including it gives U.S. core 45.9x (now 42.7x)

**KRW 101,810**

Value per share (current multiple, post-IPO shares)

### Value KRW 101,810 → indicative range KRW 66,200–79,500 (median Korean IPO discount, sub-sample (KOSPI or offer ≥ KRW 100bn), n = 19)

- NI KRW 30.8bn × 41.4x = equity KRW 1,273bn ÷ 12.5mn shares post-IPO
- Offer 3.12mn shares (80% primary, 20% secondary) → KRW 207bn–KRW 248bn
- 10–40% discount scenarios: KRW 61,086–KRW 91,629
- EV/EBIT cross-check: KRW 125,251 per share (+23% vs P/E)

**43–54%**

Required discount with a double peak (1-yr value P50 · P25)

### The price of a double peak: 43%+ — outside the 10–40% grid; a discount alone does not cover it

- Current basis (margin fixed at 10.3%): 14%–23% → KRW 66,200–79,500
- Letting margin range FY2022A 3.1%–FY2025A 10.3%: 43%–54% → KRW 46,900–57,600
- Even at 40% the 1-yr loss probability is 58% (current basis 1%)
- 97% of H2 2025 IPOs priced at the top (FSS) — the discount is set when the range is designed

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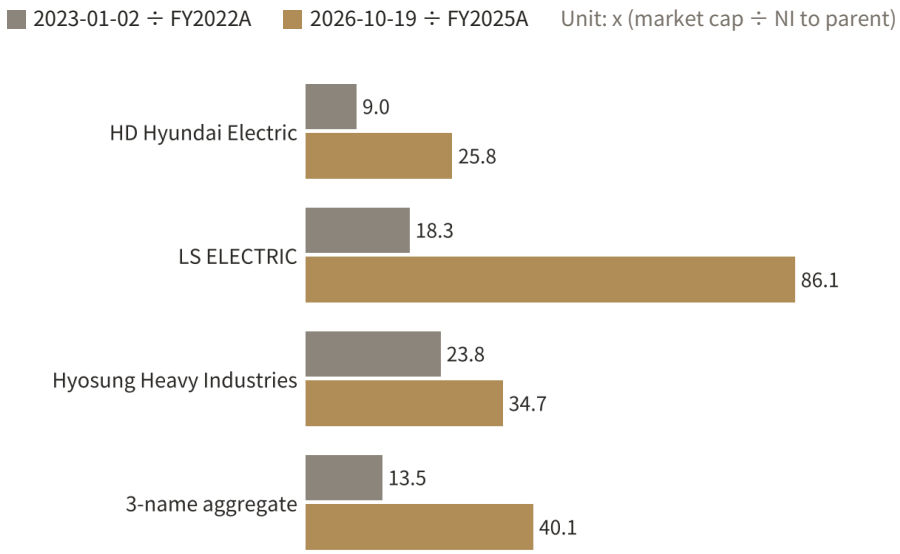
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# Starting point: P/E 13.5x → 40.1x, 61% of the gain was earnings — earnings that were developers' costs

## Vol.1 earnings-led re-rating + Vol.2 equipment pricing power → what range for a hypothetical unlisted company at this multiple?

### 3-name aggregate P/E 13.5x (early 2023) → 40.1x (as of) — 61% of the gain was earnings *1,*2,*3




Source: *1 Korea Exchange (KRX) daily trading data *2 FSS DART annual reports (consolidated) *3 KSJ Research Vol.1 (Oct 2026)
Note: Vol.1 log split: Δln(cap) = Δln(NI) + Δln(P/E). Doosan Enerbility excluded (FY2022A net loss)

### Vol.2: peer margin 5.2% → 14.4% — if all from price, equipment prices +10.9% (upper bound), the developer's cost *1,*2

| Company | OPM FY2022A | OPM FY2025A | Implied price rise |
|---|---|---|---|
| HD Hyundai Electric | 6.3% | 24.4% | 23.9% |
| LS ELECTRIC | 5.6% | 8.6% | 3.3% |
| Hyosung Heavy Industries | 4.1% | 12.5% | 9.6% |
| 3-name total | 5.2% | 14.4% | **10.9%** |

Source: *1 FSS DART annual reports (consolidated) *2 KSJ Research Vol.2 (Oct 2026)
Note: Implied rise = (1 − OPM start) ÷ (1 − OPM end) − 1: an upper bound with unit cost unchanged (not causal). That profit is today's P/E denominator

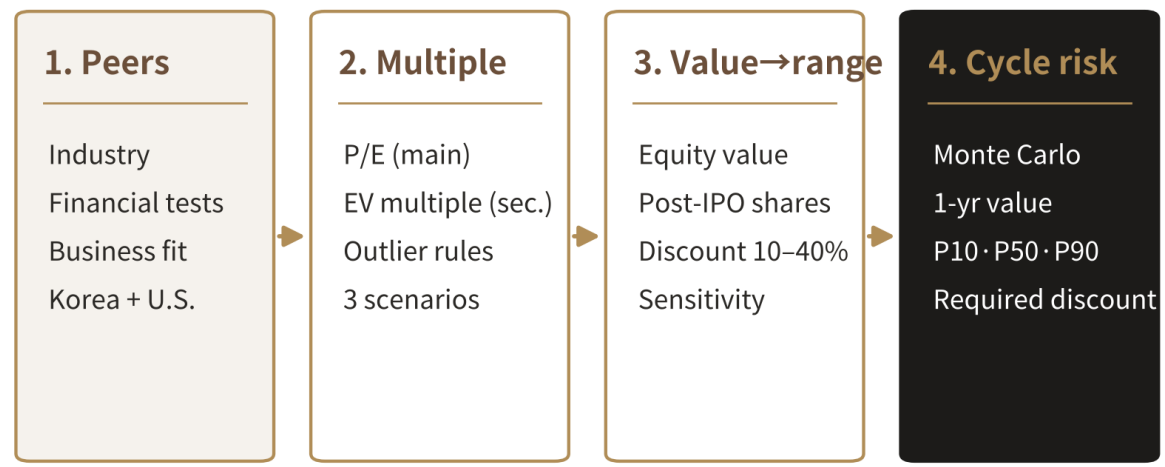
### Target Co.: a hypothetical unlisted power-equipment maker

**Question: can an earnings-made 40x P/E be applied to an unlisted company's IPO price?**

- Hypothetical (not a real company): a Korean mid-size maker of switchgear, UPS and data-centre power distribution
- FY2025A revenue KRW 300bn (design) — growth, margins and net debt from Korean peers' DART data
- 10mn shares pre-IPO · offer 25% of post-IPO shares (80% primary) → 12.5mn shares
- As of 2026-10-20 — caps at the prior trading day, earnings FY2025A (latest fiscal year)

Note: Assumptions and their status on p2 and A2

### Korean IPO practice: value → discount → indicative range *1




Source: *1 KSJ Research
Note: A generic structure, not a copy of any filing; final pricing (book-building) is out of scope

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# Target Co. inputs are Korean peers' DART aggregates — growth 18.6%, operating margin 14.4%, net margin 10.3%



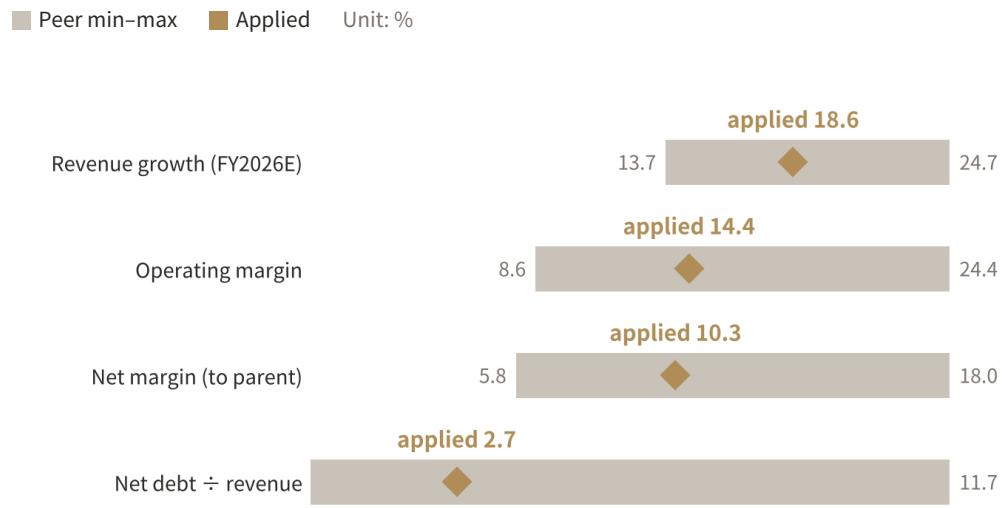
## Revenue KRW 300bn and 10mn shares pre-IPO are design values (price unit); the rest are peer aggregates within the peer range

### 4 of 9 Target Co. inputs come from Korean peers' DART data — ranges are the min–max of 3 names *1,*2,*3

| Item | Applied | Peer range | Status |
|---|---|---|---|
| Revenue FY2025A | 3,000 | — | Design |
| Revenue growth (FY2026E) | 18.6% | 13.7%–24.7% | Data |
| Operating margin | 14.4% | 8.6%–24.4% | Data |
| Net margin (to parent) | 10.3% | 5.8%–18.0% | Data |
| Net debt ÷ revenue | 2.7% | -18.7%–11.7% | Data |
| D&A ÷ revenue | — | — | Input needed |
| Pre-IPO shares | 10,000,000 | — | Design |
| Offer size (% of post-IPO shares) | 25.0% | — | Verify |
| Primary share (rest secondary) | 80.0% | — | Design |

Source: *1 FSS DART annual reports (consolidated) *2 Framework Act on SMEs Enforcement Decree Annex 1; KRX listing rules (free-float requirement) *3 KSJ Research
Note: Applied = 3-name combined (growth = combined revenue CAGR FY2022A→FY2025A). Status: data = DART, design = hypothetical setting, verify = public rule pending check

### Applied values (◆) sit inside the peer range — margins from LS ELECTRIC 8.6% to HD Hyundai Electric 24.4% *1




Source: *1 FSS DART annual reports (consolidated)
Note: Range = Korean peers' FY2025A min–max. HD Hyundai Electric: debt = other financial liabilities (current + non-current), a proxy pending the notes

### FY2025A NI to parent KRW 30.8bn — the earnings the price is built on *1,*2

Unit: KRW 100mn → bn, KRW

| Item | FY2025A | FY2026E (growth applied) |
|---|---|---|
| Revenue | KRW 300bn | KRW 356bn |
| Operating income | KRW 43.3bn | KRW 51.4bn |
| NI to parent | **KRW 30.8bn** | KRW 36.5bn |
| EBIT | KRW 43.3bn | — |
| Net debt | KRW 8.0bn | — |
| EPS (pre-IPO shares) | KRW 3,075 | KRW 3,649 |

Source: *1 FSS DART annual reports (consolidated) *2 KSJ Research
Note: FY2026E = FY2025A × (1 + 18.6%), margins fixed. The price applies peers' P/E on the same basis (FY2025A)

### How inputs move the result: scale is irrelevant; margins and multiples matter

- Revenue scale and share count only set the price unit: value = earnings × multiple; the discount conclusion does not depend on scale
- 1pp of net margin = KRW 3.0bn NI = KRW 124bn of value at the current multiple
- Margins are cyclical too: 3-name net margin FY2022A 3.1% → FY2025A 10.3%, operating 5.2% → 14.4%
- At FY2022A margins, NI on the same revenue would be 31% of today's — multiple and earnings may both be at a peak

Note: The margin cycle is not in the Monte Carlo; see limitations (p8) and Q&A (A1)

# Peers: 3 Korean + 2 U.S. core equipment makers; 2 generators as reference — Doosan Enerbility at 503x P/E and Schneider Electric (not an SEC filer) excluded; GE Vernova held pending the 10-K



## Prospectus-style three steps: industry (power infrastructure) → financial tests (profit, multiple, filer) → business fit (distribution, UPS, data-centre power)

### 10 candidates → 5 applied · 1 held — industry → financial tests → business fit *1,*2,*3

| Company | 1. Industry | 2. Financial tests | 3. Business fit | Result |
|---|---|---|---|---|
| HD Hyundai Electric | Power equipment | Profitable · P/E 25.8x | Transformers, HV equipment (medium) | Applied |
| LS ELECTRIC | Power equipment | Profitable · P/E 86.1x | Switchgear, breakers (high) | Applied |
| Hyosung Heavy Industries | Power equipment | Profitable · P/E 34.7x | Transformers, breakers (heavy industries) (medium) | Applied |
| Doosan Enerbility | Generation equip. | P/E 503x > 100x | Nuclear and gas-turbine generation equipment (low) | Excluded |
| Vertiv | Power equipment | Profitable · P/E 59.5x | Data-centre UPS, power distribution, thermal (high) | Applied |
| Eaton | Power equipment | Profitable · P/E 37.2x | Power distribution, UPS, power management (electrical) (high) | Applied |
| GE Vernova | Power equipment | Held: NI/OI 3.5x · EV/EBIT 168x | Gas turbines, wind, grid equipment (Electrification) (high) | Held: pending 10-K |
| Schneider Electric | Power equipment | Not an SEC filer | Distribution, power management, automation (similar business) | Excluded |
| Constellation Energy | Power generation | Profitable · P/E 40.2x | Nuclear-led generator (generation) | Reference |
| Vistra | Power generation | Profitable · P/E 53.2x | Generator and retailer (generation) | Reference |

Source: *1 FSS DART annual reports (consolidated) *2 Korea Exchange (KRX) daily trading data *3 SEC EDGAR 10-K XBRL (companyfacts), cover-page shares
Note: Financial tests: filed financials, FY2025A profit, P/E ≤ 100x, listed entity = filer (SEC). Business notes summarise annual-report segments (author)

### Equipment makers and generators are different businesses — net debt ÷ revenue 28% vs 58% *1

| Company | Group | Rev. CAGR 23→25 | OPM | Net margin | Net debt ÷ rev. |
|---|---|---|---|---|---|
| Vertiv | Core · equipment | 22.1% | 17.9% | 13.0% | 12% |
| Eaton | Core · equipment | 8.8% | — | 14.9% | 34% |
| GE Vernova | Core · held | 7.0% | 3.6% | 12.8% | -23% |
| Constellation Energy | Ref. · generation | 4.3% | 13.6% | 10.2% | 24% |
| Vistra | Ref. · generation | 12.9% | 10.8% | 5.4% | 103% |

Source: *1 SEC EDGAR 10-K XBRL (companyfacts), cover-page shares
Note: SEC 10-K FY2025A (USD); revenue CAGR FY2023A→FY2025A. Equipment = orders and production, margins from pricing power / generation = power sales and PPAs with heavy assets and debt, so P/E and EV behave differently → reference only. Eaton reports no operating-income tag (—); group net-debt totals exclude held names

### Market cap = close × SEC shares — 0 outside ±2.0% of yfinance shares *1,*2,*3

| Company | Close USD | SEC shares (mn) | yfinance (mn) | Diff. | Market cap | In KRW |
|---|---|---|---|---|---|---|
| Vertiv | 206.08 | 385.0 | 385.0 | +0.0% | USD 79,338mn | KRW 105,687bn |
| Eaton | 391.50 | 388.4 | 388.4 | +0.0% | USD 152,059mn | KRW 202,557bn |
| GE Vernova | 908.44 | 266.3 | 266.3 | +0.0% | USD 241,948mn | KRW 322,299bn |
| Constellation Energy | 263.19 | 354.3 | 354.3 | +0.0% | USD 93,250mn | KRW 124,219bn |
| Vistra | 149.70 | 335.6 | 335.6 | +0.0% | USD 50,245mn | KRW 66,931bn |

Source: *1 yfinance (Yahoo Finance, secondary; cross-checked with SEC shares) *2 SEC EDGAR 10-K XBRL (companyfacts), cover-page shares *3 Bank of Korea ECOS USD/KRW
Note: yfinance is secondary — SEC cover shares are used; the difference is checked only. KRW = USD mn × 1,332.1 ÷ 100 (ECOS 2026-10-20)

### Exclusions and checks: distorted multiple, disclosure scope, filer identity

- Doosan Enerbility: P/E 503x (denominator distortion from FY2025A NI of KRW 84.8bn) and low fit (generation equipment). Also excluded from Vol.1's split (FY2022A loss)
- Schneider Electric: Not an SEC filer (Euronext Paris) — manual-entry template only; excluded this volume
- GE Vernova: excluded from P/E and EV multiples pending the 10-K (kept in tables) — FY2025A NI USD 4,884mn = 3.5x operating income USD 1,388mn (possible one-offs); No long-term-debt tag → net debt USD -8,785mn (net cash may be overstated); EV/EBIT 168x
- Vistra: automatic entity check WARN → OK after checking the 10-K cover registrant (2026-10-22)

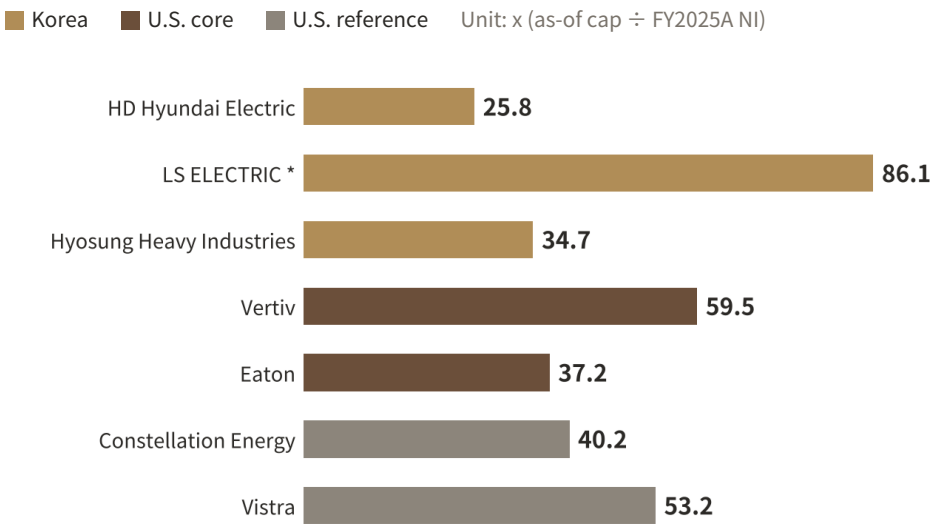
Note: Outlier rules in the p4 table

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# Applied P/E 41.4x: Korea aggregate 40.1x (mean 48.9x, median 34.7x) + U.S. core 42.7x

## P/E (main) · EV/EBIT (secondary) · outlier rules R1–R5 — Korea, U.S. and combined computed separately

### Current P/E: Korea 25.8x–86.1x · U.S. core 37.2x–59.5x — LS ELECTRIC 86.1x exceeds 2x the median (*, kept) *1,*2,*3




Source: *1 Korea Exchange (KRX) daily trading data *2 FSS DART annual reports (consolidated) *3 SEC EDGAR 10-K XBRL (companyfacts), cover-page shares
Note: Korea = KRX 2026-10-19 cap ÷ DART FY2025A NI to parent. Excluded names not shown (p3)

### Applied P/E 41.4x — aggregate within groups, average across groups *1,*2,*3

| Group | n | Aggregate | Mean | Median | Applied |
|---|---|---|---|---|---|
| 3 Korean names | 3 | 40.1x | 48.9x | 34.7x | 40.1x |
| U.S. core (equipment) | 2 | 42.7x | 48.4x | 48.4x | 42.7x |
| U.S. reference (generation) | 2 | 44.0x | 46.7x | 46.7x | compare only |
| Applied (Korea and U.S. core average) | | | | | **41.4x** |

Source: *1 Korea Exchange (KRX) daily trading data *2 FSS DART annual reports (consolidated) *3 SEC EDGAR 10-K XBRL (companyfacts), cover-page shares
Note: Aggregate = Σcap ÷ ΣNI. With 3–5 peers a simple mean is driven by one name, so the aggregate leads, mean and median shown. Korea and U.S. are averaged as groups (very different sizes)

### Outlier rules: drop losses and extreme multiples; flag, but keep, high ones *1

| Rule | Test | Treatment | Hit |
|---|---|---|---|
| R1 | NI to parent ≤ 0 | Drop P/E | — |
| R2 | P/E > 100x | Drop (denominator distortion) | Doosan Enerbility |
| R3 | Listed entity ≠ filer (SEC) | Drop | — |
| R4 | > 2x group median | Flag, keep (aggregate) | LS ELECTRIC |
| R5 | EBITDA ≤ 0, EV multiple > 60x, or no net debt | Drop EV multiple | — |
| R6 | Earnings quality / debt-tag doubts (NI > 1.5x OI etc.) | Drop P/E and EV pending the 10-K (kept in tables) | GE Vernova |

Source: *1 KSJ Research
Note: Rules set before looking at the multiples (author's judgment); the same rules apply to the early-2023 point

### EV/EBIT 36.3x (secondary) — applied to Target, value is +23% vs P/E *1,*2,*3

| Company | EV | EBIT | Multiple | Treatment |
|---|---|---|---|---|
| HD Hyundai Electric (proxy) | KRW 18,160bn | KRW 995bn | 18.2x | Kept |
| LS ELECTRIC | KRW 25,270bn | KRW 426bn | 59.3x | Kept |
| Hyosung Heavy Industries | KRW 18,638bn | KRW 747bn | 25.0x | Kept |
| Vertiv | USD 80,523mn | USD 1,830mn | 44.0x | Kept |
| Eaton | USD 161,332mn | — | — | No EBIT |
| GE Vernova | USD 233,163mn | USD 1,388mn | 168.0x | R6 held |

Source: *1 FSS DART annual reports (consolidated) *2 Korea Exchange (KRX) daily trading data *3 SEC EDGAR 10-K XBRL (companyfacts), cover-page shares
Note: D&A missing (HD Hyundai Electric, Hyosung Heavy Industries) → EBIT stands in for EBITDA (EV/EBIT ≥ EV/EBITDA), applied to Target's EBIT for consistency; switches to EV/EBITDA automatically once all applied peers have D&A. EV = cap + net debt (ex leases). Aggregate n = 3

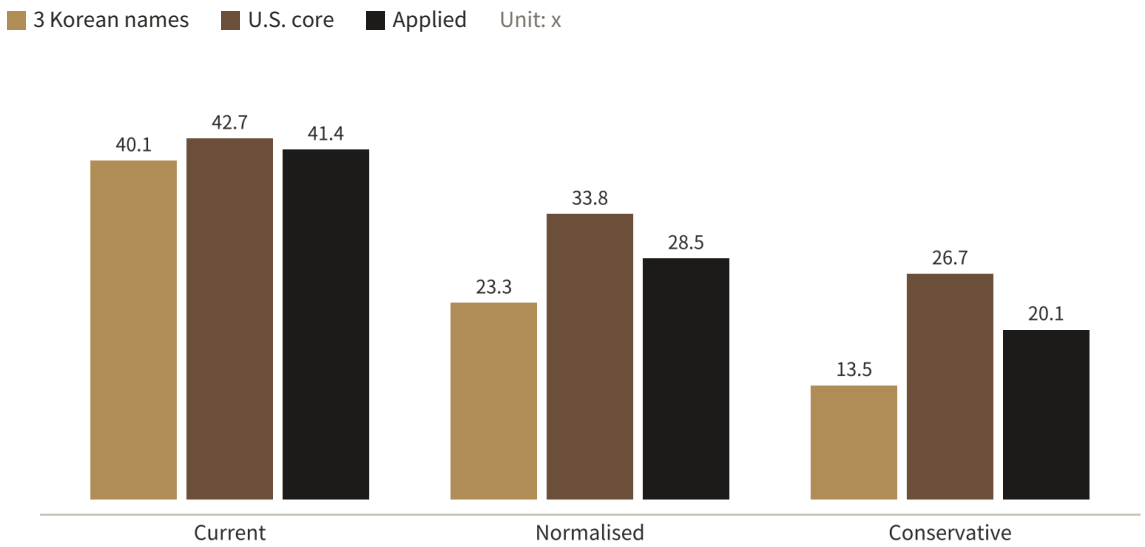
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# Scenarios: current 41.4x · normalised 28.5x · conservative 20.1x — normalise earnings too and value is 47% of the current basis



**Conservative = observed early-2023 P/E (same peers, same rules); normalised = log midpoint — outlier rules applied at both points**

## Current 41.4x → normalised 28.5x → conservative 20.1x: equity value falls to 69% and 49% *1,*2,*3




Source: *1 Korea Exchange (KRX) daily trading data *2 FSS DART annual reports (consolidated) *3 SEC EDGAR 10-K XBRL (companyfacts), cover-page shares
Note: Scenarios are a range, not probabilities; the Monte Carlo (p7) uses a triangular distribution from conservative to current

## Normalise earnings too and value is KRW 47,950 per share — 47% of the current-basis value *1,*2,*3

| Scenario | Definition | Korea | U.S. core | Applied | Value/share |
|---|---|---|---|---|---|
| Current | As-of (2026-10-19) cap ÷ FY2025A | 40.1x | 42.7x | **41.4x** | KRW 101,810 |
| Normalised | √(conservative × current): 50% log reversal | 23.3x | 33.8x | **28.5x** | KRW 70,129 |
| Conservative | First 2023 trading day (2023-01-02) cap ÷ FY2022A | 13.5x | 26.7x | **20.1x** | KRW 49,432 |
| Normalised earnings × multiple | Net margin 7.0% (4-yr cycle average) × normalised multiple | — | — | 28.5x | **KRW 47,950** |

Source: *1 Korea Exchange (KRX) daily trading data *2 FSS DART annual reports (consolidated) *3 SEC EDGAR 10-K XBRL (companyfacts), cover-page shares
Note: Applied = simple average of Korea and U.S. core group multiples. Last row = earnings also back to the cycle average (both peaks unwound) — same revenue and shares

## By company: Korea early-2023 P/E 9.0x–23.8x → today *1,*2,*3

| Company | Cap 2023-01-02 | NI FY2022A | P/E early-23 | P/E now | Change |
|---|---|---|---|---|---|
| HD Hyundai Electric | KRW 1,458bn | KRW 162bn | 9.0x | 25.8x | 2.9x |
| LS ELECTRIC | KRW 1,653bn | KRW 90.3bn | 18.3x | 86.1x | 4.7x |
| Hyosung Heavy Industries | KRW 693bn | KRW 29.1bn | 23.8x | 34.7x | 1.5x |
| Doosan Enerbility | KRW 9,734bn | KRW -772bn | R1 | 503.3x | — |
| Vertiv | USD 5,018mn | USD 77mn | 65.5x | 59.5x | 0.9x |
| Eaton | USD 62,737mn | USD 2,462mn | 25.5x | 37.2x | 1.5x |
| GE Vernova | — | USD -2,736mn | — | 49.5x (held) | — |

Source: *1 Korea Exchange (KRX) daily trading data *2 FSS DART annual reports (consolidated) *3 SEC EDGAR 10-K XBRL (companyfacts), cover-page shares
Note: R1 = FY2022A net loss → also excluded at the conservative point. U.S. = first-2023 close × latest prior SEC cover shares ÷ FY2022A NI; held (R6) names excluded at both points

## Why a log midpoint: the same scale as Vol.1's split

- Vol.1 split the gain in logs: earnings 61%, multiple 39%
- Normalised = 50% of the re-rating reverses on the same log scale → 28.5x
- An arithmetic midpoint would be 30.7x — tilted toward the high multiple
- Equity value: current KRW 1,273bn · normalised KRW 877bn · conservative KRW 618bn
- Not only the multiple: if net margin also returns from 10.3% to the 4-yr average 7.0%, equity value is KRW 599bn (normalised × normalised)

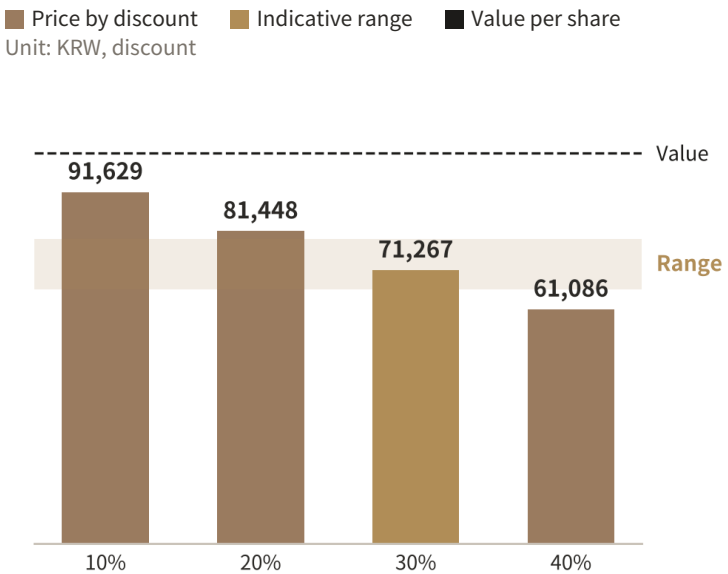
Note: The 50% reversal is the author's judgment; the Monte Carlo spans conservative to current

# Value KRW 101,810 per share → indicative range KRW 66,200–79,500 (22–35% discount) — offer KRW 207bn–KRW 248bn



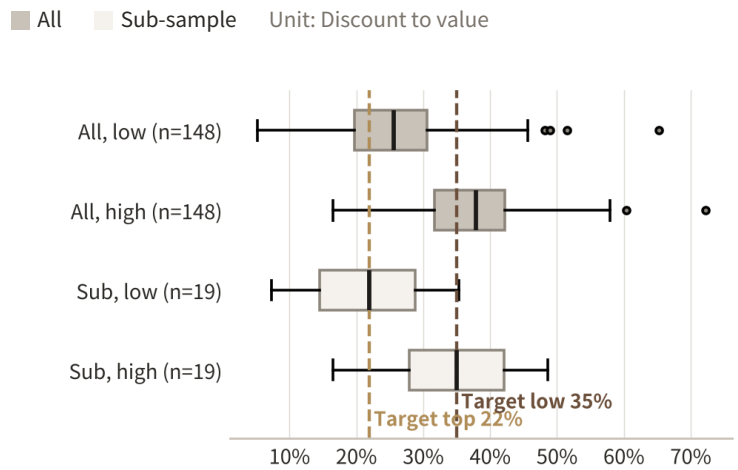
## Equity value → post-IPO shares (primary, secondary) → value per share → discount scenarios (10–40%) → range · sensitivity (multiple × discount)

### 10–40% discount: KRW 61,086–KRW 91,629 — the range sits at 22–35% *1




Source: *1 KSJ Research
Note: Discount = 1 − price ÷ value per share (current multiple)

### Korean IPO discounts (sub-sample (KOSPI or offer ≥ KRW 100bn), n = 19): median 22% (low) · 35% (high) — Target's range at P53 *1




Source: *1 DART equity prospectuses, new listings filed 2024-12-03 to 2026-10-20
Note: DART equity prospectuses for new listings, filed 2024-12-03 to 2026-10-20; first filing with a price range per company. Target (offer ≈ KRW 207bn) uses the sub-sample (n ≥ 10). IQR low 15–29%, high 28–42%. Outliers (high > 50% or low < 10%, to check) 2 — excluding them, medians 23.6% / 38.9%.

### Sensitivity: 5x of P/E = KRW 12,302 per share (before discount) — cells inside the range in gold *1

Unit: KRW (rows = applied P/E, columns = discount)

| Applied P/E | 10% | 20% | 30% | 40% |
|---|---|---|---|---|
| **Current 41.4x** | **91,629** | **81,448** | **71,267** | **61,086** |
| **Normalised 28.5x** | **63,116** | **56,103** | **49,090** | **42,077** |
| **Conservative 20.1x** | **44,488** | **39,545** | **34,602** | **29,659** |
| 15x | 33,214 | 29,524 | 25,833 | 22,143 |
| 20x | 44,286 | 39,365 | 34,445 | 29,524 |
| 25x | 55,357 | 49,207 | 43,056 | 36,905 |
| 30x | **66,429** | 59,048 | 51,667 | 44,286 |
| 35x | **77,500** | **68,889** | 60,278 | 51,667 |
| 40x | 88,572 | **78,731** | **68,889** | 59,048 |
| 45x | 99,643 | 88,572 | **77,500** | **66,429** |

Discount

Source: *1 KSJ Research
Note: Top three rows = scenarios (p5), below = 5x grid. Cells above the range in warm grey

### Value KRW 101,810 = KRW 30.8bn × 41.4x ÷ 12.5mn shares → range KRW 66,200–79,500 *1

| | Step | Value |
|---|---|---|
| ① | Earnings: Target Co. FY2025A NI to parent | KRW 30.8bn |
| ② | × applied P/E (current) | 41.4x |
| ③ | = Fair equity value | KRW 1,273bn |
| ④ | ÷ post-IPO shares (10mn shares + 2.5mn shares new) | 12.5mn shares |
| ⑤ | = Value per share | **KRW 101,810** |
| ⑥ | Discount (median Korean IPO discount, sub-sample (KOSPI or offer ≥ KRW 100bn), n = 19) | 22–35% |
| ⑦ | = Indicative range (rounded to KRW 100) | **KRW 66,200–79,500** |
| ⑧ | Ref.: double-peak range (43–54% discount, p7) | KRW 46,900–57,600 |

Source: *1 KSJ Research
Note: Value per share uses post-IPO shares (new-share proceeds not added — conservative). Range discounts = medians of Korean IPO prospectus discounts (low and high)

### Offer 3.12mn shares (80% primary) · KRW 207bn–KRW 248bn — existing holders' 75% is the overhang *1,*2,*3

| Item | Shares | Amount (range low–top) |
|---|---|---|
| Pre-IPO shares | 10,000,000 | — |
| Offer shares (25% of post-IPO) | 3,125,000 | KRW 207bn–KRW 248bn |
| Primary (to company) | 2,500,000 | KRW 166bn–KRW 199bn |
| Secondary (to sellers) | 625,000 | KRW 41.4bn–KRW 49.7bn |
| Post-IPO shares | 12,500,000 | Cap KRW 828bn–KRW 994bn |
| Existing holders' stake (overhang) | 9,375,000 | 75.0% |
| Dilution from new shares | | 20.0% |

Source: *1 Framework Act on SMEs Enforcement Decree Annex 1; KRX listing rules (free-float requirement) *2 Money Today (4 Mar 2026, citing an FSS release): 2025 IPO lock-up commitments and pricing within the range *3 KSJ Research
Note: Offer size at the listing rules' free-float level (to verify); primary share is hypothetical. Major-holder lock-up not set → shares only. Ref.: institutional lock-up commitments 41% in 2025 (prior year 18%); KOSPI 54% — FSS

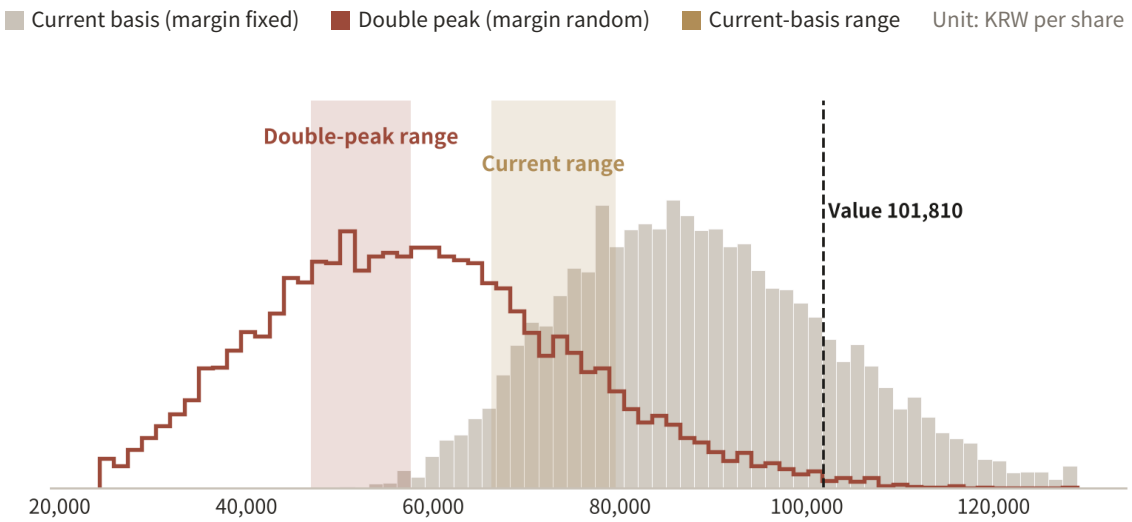
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# Current basis 14%–23% vs double peak 43%–54% — adding peak margins raises the needed discount by 29pp



10,000 runs × 3 (current basis · double peak · co-move sensitivity) · seed 42 · 1-yr growth × multiple (conservative–current) × margin (FY2022A–FY2025A)

## With margins also at a peak, 1-yr P50 falls 87,224 → 57,641 (-34%) — the KRW 101,810 value sits at P99 of the double-peak distribution *1,*2,*3,*4




Source: *1 FSS DART annual reports (consolidated) *2 Korea Exchange (KRX) daily trading data *3 SEC EDGAR 10-K XBRL (companyfacts), cover-page shares *4 KSJ Research
Note: 1-yr value = FY2025A NI × (1 + growth) × 1-yr P/E × (1-yr margin ÷ current margin) ÷ post-IPO shares. 10,000 runs each, same seed

## Even at a 40% discount the double-peak 1-yr loss probability is 58% — median break-even discount 14% → 43% *1

| Metric | Current basis | Double peak | Co-move ρ=0.5 |
|---|---|---|---|
| 1-yr value P10 | 70,515 | 38,436 | 34,197 |
| 1-yr value P25 | 77,953 | 46,934 | 44,232 |
| 1-yr value P50 | 87,224 | 57,641 | 58,012 |
| 1-yr value P90 | 107,275 | 79,692 | 90,391 |
| Needed discount (P50) | 14% | 43% | 43% |
| Needed discount (P25) | 23% | 54% | 57% |
| Needed discount (P10) | 31% | 62% | 66% |
| Loss prob. at 10% | 61% | 97% | 91% |
| Loss prob. at 20% | 34% | 91% | 83% |
| Loss prob. at 30% | 11% | 79% | 71% |
| Loss prob. at 40% | 1% | 58% | 55% |
| Range | KRW 66,200–79,500 | KRW 46,900–57,600 | |

Source: *1 KSJ Research
Note: Needed discount = 1 − quantile ÷ current-basis value; loss probability = P(1-yr value < price). Red = above the 40% grid top. Co-move = pairwise correlation 0.5 among growth, P/E and margin (sensitivity)

## Convergence: Double peak, Co-move ρ=0.5 moved more than 1% from 5,000 to 10,000 runs — batch s.e. ≤ 0.73%, ≤ 0.5% from a 10x rerun *1

| Run | P50 at 5k | P50 at 10k | Change | Verdict | Batch s.e. | P50 at 100,000 |
|---|---|---|---|---|---|---|
| Current basis | 87,103 | 87,224 | 0.14% | Yes | 0.23% | 86,969 (-0.3%) |
| Double peak | 56,905 | 57,641 | 1.29% | Above tol. | 0.46% | 57,374 (-0.5%) |
| Co-move ρ=0.5 | 57,224 | 58,012 | 1.38% | Above tol. | 0.73% | 57,720 (-0.5%) |

Source: *1 KSJ Research
Note: Verdict = relative P50 change between the first 5,000 and 10,000 draws ≤ 1%. Reported values stay at 10,000 runs even when above tolerance; the error size is shown via a 10-batch standard error and a 100,000-run rerun

## Inputs: growth and multiple, plus net margin, so peak earnings and peak multiples move together *1,*2,*3

| Input | Distribution / value | Basis |
|---|---|---|
| Earnings growth (1 yr) | ln(1+g) ~ N(0.175, 0.063) | 9 Korean peer revenue-growth observations |
| 1-yr-ahead P/E | Tri(20.1, 28.5, 41.4) | Min conservative · mode normalised · max current (neutral) |
| 1-yr net margin (double peak) | Tri(3.1%, 7.0%, 10.3%) | FY2022A · 4-yr cycle average (mode; mean-reversion judgment) · FY2025A — 3 Korean names |
| Correlation (growth, P/E, margin) | Base 0.0/0.0/0.0 · co-move 0.5 | Gaussian copula; no data to estimate → independent base (neutral); joint downturn as sensitivity |
| Runs · seed | 10,000 · 42 | Reproducible |
| Range basis | P25 · P50 | Low 25% · top 50% loss probability (judgment) |

Source: *1 FSS DART annual reports (consolidated) *2 Korea Exchange (KRX) daily trading data *3 KSJ Research
Note: Current basis = margin fixed (same as before). Double peak = margin also random. Zero correlation assumes slowdown, de-rating and margin compression arrive separately

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# Implication: a double peak (peak earnings × peak multiple) is not covered by a 10–40% discount alone — earnings durability and deal structure must do the rest



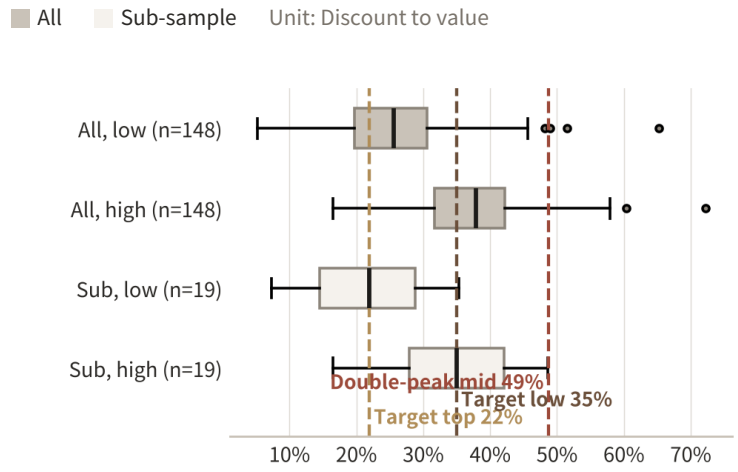
## Conclusion (risks a discount covers vs does not) · ECM checklist · limitations · next: Vol.4 (data-centre power supply)

### Conclusion: the discount covers the peak multiple; the peak margin needs structure and disclosure *1,*2

- Current-basis range KRW 66,200–79,500 (22–35% discount) vs double-peak KRW 46,900–57,600 (43–54%)
- The double-peak median break-even discount of 43% exceeds the 40% grid top — even at 40% the 1-yr loss probability is 58%: a discount alone does not cover it
- In 2025 100% of IPOs priced within the range and 97% of H2 at the top — the effective discount is the top's (22%)
- Risk the discount cannot carry goes into structure: evidence of margin durability (backlog, long-term contracts), less secondary sale, lock-ups

Source: *1 Money Today (4 Mar 2026, citing an FSS release): 2025 IPO lock-up commitments and pricing within the range *2 KSJ Research
Note: From the Monte Carlo (p7) · pricing positions from an FSS release

### Korean IPO discounts (sub-sample (KOSPI or offer ≥ KRW 100bn), n = 19): median 22% (low) · 35% (high) — Target's range at P53 *1




Source: *1 DART equity prospectuses, new listings filed 2024-12-03 to 2026-10-20
Note: DART equity prospectuses for new listings, filed 2024-12-03 to 2026-10-20; first filing with a price range per company. Target (offer ≈ KRW 207bn) uses the sub-sample (n ≥ 10). IQR low 15–29%, high 28–42%. Outliers (high > 50% or low < 10%, to check) 2 — excluding them, medians 23.6% / 38.9%.

### Next in Vol.4: powering data centres — generation assets and PPAs

**After equipment, the power itself: who sells electricity to data centres, and under what contracts?**

- Valuing generators (Constellation, Vistra — this volume's reference peers) and PPA structures
- How PPA price and tenor feed Vol.2's power cost and debt capacity
- Vol.5 finale: an AI energy asset investment map — demand, equipment, PF, IPO and generation on one page

Note: Timing and method of Vol.4–5 may change

### ECM checklist: which earnings, which multiple, and how much discount *1,*2

| Item | This note | Check in a real deal | Pages |
|---|---|---|---|
| Peer set | 3 Korean + 2 U.S. core, 2 reference · GE Vernova held | Check held names' 10-K notes (one-offs, debt); add Schneider from its annual report | 3, 4 |
| Applied multiple | P/E 41.4x (Korea 40.1x · U.S. core 42.7x) | Whether the R4-flagged name stays moves the mean a lot | 4 |
| Earnings basis | FY2025A net margin 10.3% = highest in 4 years | Check LTM results and backlog margins for a peak | 2, 5 |
| Discount | **Current 22–35% · double peak 43–54%** | Compare with Korean IPO prospectus discounts | 6, 7 |
| Final pricing | 2025: 100% within range, 97% of H2 at the top | Range top ≈ final price → design around the top's discount | 8 |
| Secondary · overhang | Secondary 20% · existing 75% | Major-holder lock-up; institutional commitments (41% in 2025) | 6 |

Source: *1 Money Today (4 Mar 2026, citing an FSS release): 2025 IPO lock-up commitments and pricing within the range *2 KSJ Research
Note: Checklist for the hypothetical company; figures from the body; final-pricing data from an FSS release (Money Today, 4 Mar 2026)

### Limitations of this note

- Target Co. is hypothetical: size, shares and structure are design values; growth and margins are Korean peer aggregates
- GE Vernova held until its 10-K notes are checked; including it changes the U.S. core multiple
- Some Korean D&A missing → EV/EBIT instead of EV/EBITDA (secondary)
- Earnings are FY2025A (~10 months old); LTM would change multiple and earnings
- Margin distribution (mode = 4-yr average), zero correlation, range quantiles and the 50% reversal are judgments — shown with a co-move sensitivity

Note: Updated with the same code as data arrive

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# Q&A: questions on the multiple, the discount and the structure

## Questions likely in deal work (valuation, prospectus, investor meetings), with page references

### Eight questions an ECM desk would ask [*1,*2,*3,*4,*5]

| Question | Answer (from the body) | p. |
|---|---|---|
| Shouldn't LS ELECTRIC at 86.1x be dropped? | Flagged (R4, > 2x median), but the aggregate is earnings-weighted: 40.1x with vs 29.5x without. A simple mean would be 48.9x | 4 |
| Why is Doosan Enerbility excluded? | P/E 503x (NI KRW 84.8bn) is a denominator distortion (R2), and its nuclear/gas-turbine mix fits poorly | 3 |
| Why P/E first and EV/EBITDA second? | IPO prices are set on equity value (NI to parent), and net-debt/D&A data are incomplete. The EV/EBIT cross-check is +23% vs P/E | 4 |
| Why is GE Vernova left out? | FY2025A NI USD 4,884mn = 3.5x operating income USD 1,388mn (possible one-offs); No long-term-debt tag → net debt USD -8,785mn (net cash may be overstated); EV/EBIT 168x — held until the 10-K notes are checked (kept in tables). Including it: U.S. core 45.9x vs 42.7x without | 3, 4 |
| Why are Constellation and Vistra only references? | They sell power: profits depend on prices and PPAs, and heavy assets and debt make P/E and EV behave unlike equipment makers (p3 net debt ÷ revenue) | 3 |
| Isn't using peak peer margins aggressive? | So the margin was re-run across FY2022A 3.1%–FY2025A 10.3% (double peak): needed discount 14% → 43% (P50). Normalised earnings × multiple gives KRW 47,950 | 5, 7 |
| Then why not a 43% discount? | With a double peak, even a 40% discount leaves a 58% 1-yr loss probability (current basis 1%). Issuers rarely accept discounts beyond the grid and 2025 pricing clustered at the top — the rest is carried by margin disclosure, smaller secondary and lock-ups | 7, 8 |
| How should the secondary sale and overhang be read? | 20% of the offer is secondary (5.0% of post-IPO). Existing holders' 75% is overhang once lock-ups end — institutional lock-up commitments 41% in 2025 (prior year 18%); KOSPI 54% — FSS | 6 |

Source: *1 FSS DART annual reports (consolidated) *2 Korea Exchange (KRX) daily trading data *3 SEC EDGAR 10-K XBRL (companyfacts), cover-page shares *4 Money Today (4 Mar 2026, citing an FSS release): 2025 IPO lock-up commitments and pricing within the range *5 KSJ Research
Note: All figures in the answers come from the same calculations as the body

# Assumptions and sources: data, sourced, judgment and design kept apart

## Target Co., deal structure and Monte Carlo inputs — value, peer range, basis, status

### 30 inputs: data 9 · sourced 7 · verify 2 · design 3 · judgment 3 · needed 2 [*1,*2,*3]

| Item | Value (range) | Unit | Basis / source | Status |
|---|---|---|---|---|
| Revenue FY2025A | 3,000 | KRW 100mn | Hypothetical company size, FY2025A — above the mid-size threshold; sets the price unit only | Design |
| Mid-size revenue threshold (ref.) | 1,500 | KRW 100mn | Framework Act on SMEs, Enforcement Decree Annex 1 (electrical equipment: KRW 150bn average revenue) | Verify |
| Revenue growth (FY2026E) | 18.6% (13.7–24.7) | % | DART, 3-name combined revenue CAGR FY2022A→FY2025A (range = min–max) | Data |
| Operating margin | 14.4% (8.6–24.4) | % | DART, 3-name combined operating margin FY2025A (range = min–max) | Data |
| Net margin (to parent) | 10.3% (5.8–18.0) | % | DART, 3-name combined net margin to parent FY2025A (range = min–max) | Data |
| Net debt ÷ revenue | 2.7% (-18.7–11.7) | % | DART, net debt ÷ revenue FY2025A (names with debt data; range = min–max) | Data |
| D&A ÷ revenue | — | % | Not collected → EV/EBIT as proxy | Input needed |
| Pre-IPO shares | 10,000,000 | shares | Hypothetical pre-IPO share count — changes the price level only | Design |
| Offer size (% of post-IPO shares) | 25.0% | % | Offer as % of post-IPO shares — KRX listing rules' free-float requirement (e.g. 25% public holders) | Verify |
| Primary share (rest secondary) | 80.0% | % | Primary share of the offer (rest secondary sale) — hypothetical deal design | Design |
| Lock-up (major holders) | — | months | Not set → overhang shown in shares only | Input needed |
| Band discount (low) | 21.9% (14.5–28.8) | % | Public source | Sourced |
| Band discount (high) | 35.0% (27.9–42.1) | % | Public source | Sourced |
| Growth mean (log) | 17.5% (7.3–25.0) | log | DART, 9 annual revenue growth observations FY2023A–FY2025A (log mean) | Data |
| Growth s.d. (log) | 6.28% | log | Same 9 observations (log standard deviation) | Data |
| 1-yr-ahead P/E distribution | Triangular | - | Triangular: min conservative, mode normalised, max current — neutral shape without probability evidence | Neutral |
| Band low quantile | 25.0% | % | Band low = 25th percentile of 1-yr value (25% loss probability at the low end) | Judgment |
| Band high quantile | 50.0% | % | Band top = median 1-yr value (50% loss probability at the top) | Judgment |
| 1-yr net margin min | 3.1% | % | DART, 3-name combined net margin FY2022A (trough end) | Data |
| 1-yr net margin mode | 7.0% | % | DART, 3-name combined net margin over FY2022A–FY2025A (cycle average) | Data |
| 1-yr net margin max | 10.3% (5.8–18.0) | % | DART, 3-name combined net margin FY2025A (today = peak end) | Data |
| 1-yr net margin distribution | Triangular | - | Triangular with the mode at the 4-yr cycle average = mean reversion; capped at today, floored at FY2022A | Judgment |
| Corr.: growth–P/E | 0 | - | Growth–P/E correlation 0: no data to estimate (neutral); co-movement tested as a sensitivity | Neutral |
| Corr.: growth–margin | 0 | - | Growth–margin correlation 0: no data to estimate (neutral) | Neutral |
| Corr.: margin–P/E | 0 | - | Margin–P/E correlation 0: neutral; in reality both may fall together, so the downside may be understated | Neutral |
| Institutional lock-up commitments 2025 | 41.0% | % | FSS release: institutional lock-up commitments 41% in 2025 (Money Today) | Sourced |
| Institutional lock-up commitments 2024 | 18.0% | % | FSS release: institutional lock-up commitments 18% in 2024 (Money Today) | Sourced |
| Institutional lock-up commitments, KOSPI 2025 | 54.0% | % | FSS release: KOSPI institutional lock-up commitments 54% in 2025 (Money Today) | Sourced |
| 2025 IPOs priced within the range | 100.0% | % | FSS release: every 2025 IPO priced within its range (Money Today) | Sourced |
| 2025 H2 IPOs priced at the top | 97.0% | % | FSS release: 97% of H2 2025 listings priced at the top of the range (Money Today) | Sourced |

Source: *1 FSS DART annual reports (consolidated) *2 Framework Act on SMEs Enforcement Decree Annex 1; KRX listing rules (free-float requirement) *3 KSJ Research
Note: Status (same as Vol.2): data/sourced (gold) = DART or public source · judgment (shaded, brown) = unsourced setting, stress-tested · needed (red) = not set, fallback rule · verify = public basis, not yet checked · design = hypothetical setting · neutral = neutral shape without evidence

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# Data notes: sources, dates and the SEC entity check

## Series as-of 2026-10-20 · KRX 2026-10-19 · SEC 2026-10-20 · USD/KRW 1,332.1 (2026-10-20)

### Data sources · datasets · dates

| Source | Dataset / items | As of | Status |
|---|---|---|---|
| DART · FSS | Annual reports, consolidated, FY2022A–FY2025A (4 Korean names) | 2026-10-20 | Collected |
| KRX · Korea Exchange | Close, market cap, listed shares (2 Jan 2023 · 19 Oct 2026) | 2026-10-20 | Collected |
| SEC EDGAR | 10-K annual financials (XBRL), cover shares, entity check | 2026-10-20 | Collected |
| yfinance (secondary) | U.S. peers' closes (first 2023 trading day · as-of) | 2026-10-20 | Collected |
| DART·SEC (extra) | D&A (for EBITDA) · SEC FY2022A NI | 2026-10-20 | Collected |
| ECOS · Bank of Korea | USD/KRW (display conversion) | 2026-10-20 | Collected |
| DART prospectuses | New-listing prospectuses: value, range, discount (n=148, filed 2024-12-03 to 2026-10-20) | 2026-10-20 | Collected |

Note: Priority: official filings (DART, SEC) > public agencies (KRX, ECOS) > secondary libraries (yfinance, cross-checked with SEC shares) Check: DART corp_cls is today's listing status, so filtering on it drops firms that listed later (look-ahead) → classified at filing date (listing date > filing date, IPO wording); 119 filings restored.

### SEC entity check, 5 names — 0 WARN; Vistra OK after checking the 10-K cover registrant [*1]

| Company | Ticker | Listed CIK | Filer name (companyfacts) | Same group | Verdict |
|---|---|---|---|---|---|
| Vertiv | VRT | 0001674101 | Vertiv Holdings Co | yes | OK |
| Eaton | ETN | 0001551182 | EATON CORPORATION plc | yes | OK |
| GE Vernova | GEV | 0001996810 | GE Vernova Inc. | yes | OK |
| Constellation Energy | CEG | 0001868275 | CONSTELLATION ENERGY CORPORATION | yes | OK |
| Vistra | VST | 0001692819 | Vistra Operations Company LLC | yes (manual) | WARN → OK |

Source: *1 SEC EDGAR 10-K XBRL (companyfacts), cover-page shares
Note: Market cap follows the listed entity (ticker map), financials the companyfacts filer — a mismatch drops the multiple (R3). Manual checks are recorded with URL and date; the automatic verdict is kept. Vistra source: https://www.sec.gov/Archives/edgar/data/1692819/000169281922000005/vistra-20211231.htm (checked 2026-10-22)

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# Methodology: one rule set for every peer and date; conclusions from the numbers

## Every figure is calculated from data and assumptions, and conclusions are generated from the results

**Data → multiples → price → checks and report** [*1]

### 1. Data

DART · KRX

SEC EDGAR

yfinance (sec.)

Entity, share checks

### 2. Multiples

3-step screen

Agg., mean, median

Outliers R1–R5

3 scenarios

### 3. Price

Equity value

Post-IPO shares

Discount grid

Sensitivity

### 4. Checks, report

MC seed, convergence

Multiple, unit, FX checks

Conclusion titles

Korean & English

Built with an AI coding tool (Claude Code) for data links, multiples, Monte Carlo and report generation; question design, peer and assumption judgments and number checks by the author.

Source: *1 KSJ Research
Note: Point-in-time rule: samples use only what was knowable then — an IPO is judged at the filing date (listing date > filing date, range and book-building wording), not by today's DART corp_cls. Full code and data sources: GitHub https://github.com/Cojae-Kang/ksj-ai-energy-asset-portfolio

# Glossary: the language of IPO pricing

**Units: KRW 100mn and KRW, USD mn · %, x**

## Glossary

| Term | Definition |
|---|---|
| PER | Price-to-earnings = market cap ÷ NI to parent; the main IPO metric |
| Aggregate P/E | Σcap ÷ ΣNI — an earnings-weighted average that damps high multiples on small profits |
| EV/EBITDA | Enterprise value (cap + net debt) ÷ EBITDA; a capital-structure-neutral cross-check |
| EV/EBIT | Proxy without D&A: EV ÷ operating income (higher than EV/EBITDA) |
| Value per share | Equity value ÷ post-IPO shares — the price before discount |
| IPO discount | 1 − offer price ÷ value per share; compensation for post-listing uncertainty |
| Indicative price range | The price range offered before book-building (low–top) |
| Primary · secondary | Primary = new shares (cash to company); secondary = existing holders sell (cash to them) |
| Overhang | Existing holders' shares that may hit the market after lock-ups |
| Lock-up | A period after listing during which major holders cannot sell |
| Three-step peer screen | Industry → financial tests (profit, multiple, filer) → business fit |
| Cycle peak | Earnings and multiples both high; risk that slowing profits and de-rating coincide |
| Monte Carlo | Repeated draws from input distributions to get an output distribution (fixed seed = reproducible) |
| P10 · P50 · P90 | 10th, 50th and 90th percentiles of the outcome |
| Loss probability | P(1-yr value per share < offer price) |
| Double peak | Margins and multiples both at a cycle peak — peak earnings × peak multiple |
| Lock-up commitment | An institution's pledge not to sell allotted shares for a set period |

Note: Shaded = core IPO-pricing terms

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- This is a personal portfolio for education and research. It is not investment advice or a recommendation on any security.
- Target Co. is hypothetical and unrelated to any real company; the price range illustrates a method.
- Views are the author's own and do not represent any current or future employer.
- All data are public; accuracy and completeness are not guaranteed. Assumptions and sources are in Appendix A2.
- As of 2026-10-20. Methods and code can be reproduced from the repository.
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**KSJ Research**

https://github.com/Cojae-Kang/ksj-ai-energy-asset-portfolio

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